

W.P. No.56733 of 2019

Maryam Nawaz Sharif,

National Accountability Bureau, etc.

C.M. No.1 of 2026
(Application for return of amount)

04.02.2026

Mr. Javed Arshad Bhatti, Advocate for the petitioner.
Mr. Fareed-ul-Hassan, Deputy Prosecutor General, NAB,
Mr. Intikhab Alam Joiya, Special Prosecutor, NAB, Ms.
Fatima Shahid, Special Prosecutor, NAB, Hafiz Asad
Ullah Awan, Special Prosecutor, NAB, and Mr. M. Faik
Ali, Assistant Director, NAB.
Mr. Rafaqat Ali Dogar, Deputy Attorney General.

Through the instant petition, the petitioner has made the following prayer:-

“In view of the submissions made above, it is humbly prayed that the Deputy Registrar (Judicial) of this Hon’ble Court may kindly be directed to return the amount of Rs.7 crore to the petitioner through her Representative, namely Muhammad Safdar s/o Muhammad Ishaq (Husband of the petitioner), CNIC No. (35200-7820163-5), in the interest of justice.”

2. Vide order dated 29.01.2026 passed by this Court, learned Deputy Prosecutor General NAB was directed to submit a reply to this petition, keeping in view the judgments of the Hon’ble Supreme Court of Pakistan, which was submitted by the learned DPGA, NAB with the office.

3. During arguments, learned Deputy Prosecutor General NAB submitted that the inquiry was authorized vide letter No.1(9)HQ/2023/NAB-L dated 14.11.2018 in the matter about M/s Chaudhary Sugar Mills Limited, which was subsequently upgraded into an investigation vide letter No.1(61)HQ/1001/NAB-L dated 03.04.2020. During the pendency of the investigation, amendments were incorporated into the National Accountability Ordinance, 1999, through the National Accountability Amendment Act, 2022, dated 22.06.2022, and the National Accountability Second Amendment Act, 2023, dated 20.05.2023. During the investigation, the investigating officer concluded that all the FTTs were received and invested by private individuals with no element of corruption and corrupt practices as defined u/s 9(a) of the National Accountability Ordinance, 1999. Therefore, under the National Accountability Amendment Act, 2022, no case of corruption or corrupt practice is made out; the investigating officer, therefore, closed the investigation under section 31(B)(1) of the National Accountability Amendment Act, 2022. Learned Deputy Prosecutor General further submitted that in view of the findings of the investigating officer under the National Accountability Amendment Act, 2022, the Executive Board of NAB deliberated upon the result of the investigation and the Executive Board of NAB vide its decision dated 03.04.2024, terminated the proceedings under Section 31(B)(1) of the National Accountability Ordinance, 1999. The recommendation was endorsed with the concurrence of the Chairman of NAB and the learned Prosecutor General Accountability on 03.04.2024, and the proceedings of the case were terminated with absolute exoneration of the petitioner.

4. The learned counsel for the petitioner submitted that in view of the arguments and reply submitted by NAB authorities, the Deputy Registrar (Judicial) be directed to return the amount of Rs. 7 crores to the petitioner as prayed in the petition.

5. Heard. Record Perused.

6. We have deliberated on the significance of the expression "terminate" appearing in the text of 31(B)(1) of the National Accountability Amendment Act, 2022 and are of the view that 31(B)(1) of the National Accountability Amendment Act, 2022 does not bar the placing of report regarding termination of investigation before the Accountability court for considering the same judicially as per Section 4(4)(b) of National Accountability Amendment Act, 2022 read with Section 9(c) as amended in 2002 by Ordinance No. CXXXIII/2002, dated 15.11.2002. As the investigating officer referred the case for termination of the investigation under section 31(B)(1) of the National Accountability Amendment Act, 2022, in above said reference, it is necessary to look into Section 4(4)(b) introduced by the National Accountability Amendment Act, 2022 and Section 31(B)(1) of the National Accountability Amendment Act, 2022. The provisions of Section 31(B)(1) of the National Accountability Ordinance, 1999, are reproduced hereunder for ready reference: -

“31.B. Withdrawal and termination of pending proceedings. ----- (1) Before filing of a reference, the Chairman, NAB, in consultation with the Prosecutor General, having regard to the totality of facts, circumstances, and evidence, may partly, wholly, conditionally, or unconditionally withdraw or terminate any proceedings under this Ordinance, if such proceedings are unjustified.”

Section 4(4)(b) introduced by the National Accountability Amendment Act, 2022, reads as follows:-

[(4) Upon commencement of the National Accountability (Amendment) Act, 2022 (XI of 2022) and the National Accountability (Second Amendment) Act, 2022 (XVI of 2022),--

(a) -----

(b) All investigations required to be transferred under sub-section (3) shall be examined by the Chairman. **If the Chairman is satisfied that no case is made out against an accused and the investigation may be closed, he shall refer the matter to the Court for approval and for the release of the accused, if in custody.** Where the Chairman is of the opinion that prima facie, a case is made out against an accused under any other law for the time being in force, he shall refer the matter to the relevant agency, authority, or department, as the case may be. **Bold for emphasis**

The principle laid down in Section 4(4)(b) introduced by the National Accountability Amendment Act, 2022 is in continuation of the National Accountability Ordinance, 1999 and this Section reaffirms the principle laid down by the Hon'ble Supreme Court of Pakistan in the case of Asfandiyar Wali Khan, reported as "PLD 2001 SC 607", wherein the Hon'ble Supreme Court of Pakistan observed as under:-

"192. Section 9(c) read with Section 24(d) of the NAB Ordinance vests the power to release any person accused of an offence under the NAB Ordinance in the Chairman NAB and that too based on any conditions as he may think fit are unwarranted. **The power to set conditions for the release of an accused from custody or detention is a judicial power which ought not to be exercised except by a court which is established** under Article 175 of

the Constitution and is subject to the supervisory jurisdiction of the High Court in terms of Articles 202 and 203."

The Hon'ble Supreme Court of Pakistan observed that the Chairman could not unilaterally discontinue or neutralize the effects of an investigation or of custody and identified such discretion as a judicial power belonging solely to the courts. In view of the Asfandyar Wali case, Section 9(c) was amended in 2002 by Ordinance No. CXXXIII/2002, dated 15.11.2002, S.10(2), stating:

"If after completing the investigation of an offence against a holder of public office or any other person, the Chairman NAB is satisfied that no prima facie case is made out against him and the case may be closed, **the Chairman NAB shall refer the matter to a Court for approval** and for the release of the accused, if in custody."

This amendment constitutionalized judicial consideration, ensuring that the closure of investigations previously exercisable solely by NAB became contingent solely on the Accountability Court's approval. Section 31(B)(1) of the National Accountability Amendment Act, 2022 shall be read with Section 9(c) and Section 4(4)(b) of the National Accountability Ordinance, 1999. Section 31-B(1) allows the Chairman, before filing a reference, to "withdraw or terminate any proceedings under this Ordinance." In substance, this is indistinguishable from closing an investigation under Section 9(c) or closing an investigation under Section 4(4)(b) in the 2022 amendments. Each outcome terminates accountability proceedings at the investigative stage. Given:

1. **The Supreme Court's constitutional holding** that such termination is a *judicial* act.

2. Parliament's correction in 2002 by mandating court approval.

3. The reaffirmation of that requirement in the 2022 amendments; the same rationale must apply to Section 31-B(1).

To allow Section 31-B(1) to operate without judicial supervision would recreate the very constitutional defect identified in the Asfandiyar case *supra* and would render the court-approval requirements in Sections 9(c) and 4(4)(b) redundant or inconsistent. Principles of harmonious construction expressly forbid this outcome. Therefore:

- Section 31-B(1) cannot be read as providing an unqualified power of termination/withdrawal of investigation.
- Its operation must be subject to the judicial approval mechanism contained in the specific provisions.
- The term “withdraw or terminate” must be understood as requiring the same procedural safeguard as closure under 9(c) and 4(4)(b)—the Accountability Court’s approval, **where the matter has progressed to the stage of investigation.**

Accordingly, Section 31-B(1) requires that it be confined to the termination of inquiries only, i.e., proceedings that have not yet matured into investigations. Once an inquiry is upgraded into an investigation, the Chairman’s power is no longer unilateral, and termination or closure must proceed strictly in the same manner as ascribed in Sections 9(c), 4(4)(b), and 31-B(2), with mandatory referral to the Court for approval.

7. The National Accountability Amendment Act, 2022 provides how an investigation would be ended. It has made clear specific provisions in sections 9(c), 4(4)(b) & 31B(2) that closure, withdrawal, and for termination of an investigation lies

only through referral to, and approval by, the Accountability Court. Section 31-B(1), by contrast, is framed in broad, general terms and does not purport to lay down a bespoke procedure for terminating investigations. On settled interpretive principles, the general clause in section 31-B(1) cannot be extended to cover, much less to override, the very subject that the legislature has already dealt with in precise and restrictive terms in sections 9(c) and 4(4)(b). The correct construction is that section 31-B(1) operates in the residual field of inquiries and other preliminary or collateral proceedings that have not yet crystallised into investigations, while once an inquiry is converted into an investigation, any decision effectively to “withdraw or terminate” NAB proceedings is governed exclusively by the special investigation-closure safeguards that Parliament has laid down: the Chairman may form an opinion, but legal termination can only occur through the court-approval mechanisms in sections 9(c) & 4(4)(b).

8. On the Court’s query, the learned Deputy Prosecutor General, NAB, has submitted that the decision of the Executive Board of NAB is not absolute and can be recalled by the subsequent Executive Board of NAB. It has become necessary to place the termination report before the Accountability Court, in view of the statement of the learned Deputy Prosecutor General, NAB, that the subsequent Executive Board can recall the minutes of the Executive Board. The term “termination” has not been defined in the National Accountability Amendment Act, 2022. The learned Deputy Prosecutor General, NAB, has submitted that the termination is equivalent to the cancellation report prepared by the investigating officer, as defined in the Criminal Procedure Code. In this regard, if any proceedings are subsequently withdrawn after investigation, propriety demands

that, for the judicial consideration, the matter be placed before the Accountability Court, as the opinion of the Chairman of NAB, in view of the findings of the investigating officer, cannot be equivalent to judicial verdict.

7. Given the above, the NAB authorities are directed to place the termination report before the learned Judge Accountability Court No.1, Lahore, within one week positively. Learned Judge Accountability Court No. 1, Lahore, will decide the matter within one month from the date of receipt of the report, excluding vacations.

8. With the above observations, the instant petition stands disposed of.

(Aalia Neelum)
Chief Justice

(Abher Gul Khan)
Judge

(Muhammad Jawad Zafar)
Judge

Approved for reporting

Chief Justice

Judge

Judge

This order was dictated,
pronounced, prepared, and
signed on 04.02.2026

*Ikram**